alternative? Are we sure that the benefits to society outweigh the costs? Such a formal process helps diminish many of the flaws of human decision processes.

Formal calculations of cost are, of course, important in economic policy. They are also useful in other areas of public policy. In October 2002, the US Congress authorized the then president George Bush to use military force against Iraq if he felt this was appropriate. In December 2002, the economist William D. Nordhaus made a calculation of the economic consequences of the war in Iraq. These calculations showed a sombre outlook. The war began in March 2003, and ran till December 2011. With the benefit of hindsight, we know that the Nordhaus calculation of December 2002 was largely sound while the arguments of the US national security establishment were not. This shows the opportunity for improved decision making through careful calculations, going beyond economic policy.

Accounting for the interests of persons not in the room

By default, human decision making tends to think about the impacts upon the persons who have been in face-to-face conversations with policymakers. This creates a bias in favour of special interest groups that are able to mobilize for lobbying. A sound cost–benefit analysis tries to quantify the overall costs and benefits to society, and not just the narrow zone of the people who are lobbying the government.

Every regulator tends to intensively engage with its regulated persons. The Telecom Regulatory Authority of India (TRAI) tends to talk to telecom service providers (TSPs), RBI tends to talk to banks. Over time, the regulator tends to adopt the worldview of regulated persons, and think of their interests. This can go beyond ordinary human nature to a more malign